

20 Aug 2026 12:13:22 ET | 17 pages

Henan Pinggao Electric Co (600312.SS)

Prime Beneficiary of More PRC UHV Line Investments in 2026-27E

CITI'S TAKE

Our Pinggao 2026-28E net profits are raised 8% primarily for higher GP margins driven by more revenue mix from high-voltage gas insulated switchgears (GIS) sales essential for UHV line developments in 2026-27E with ample orders on hand. It is the biggest beneficiary of PRC's increased UHV line developments with dominant (60-70%) market shares in winning orders of 750kV GIS in the first three batches of PRC grid equipment procurement tendering in 2026 so far. Our DCF TP is +2.1% to Rmb24.50/share after earnings and WACC updates. Its 16.5x 2027E PER is undemanding with leading market share and 14.8% 2026-28E EPS CAGR.

1H26 profit growth driven by more high voltage GIS sales — Pinggao's net profit rose 22.9% yoy to Rmb817m in 1H26, including +31.2% yoy to Rmb402m in 2Q26, with increments mainly driven by more high voltage GIS sales, including (i) 7 knots of 1,000kV, up 4 yoy; and (ii) 44 knots of 750kV, up 17 yoy. GP margin (+4.9ppts yoy to 29.0%) and NP margin (+3.5ppts yoy to 15.2%) expanded in 1H26 for higher revenue mix from these high voltage GIS sales. 1H26 interim DPS increased +28.7% yoy to Rmb0.242 at 40.2% (+1.8ppts yoy) payout ratio.

More new orders — Pinggao's new orders rose 7.5% yoy to Rmb9.3bn in 1H26, comprising Rmb7.4bn (+10% yoy) or 80% for high-voltage power transmission products (including voltage GIS of 28 knots of 1,000kV ones and 60 knots of 750kV ones), Rmb750m (flat yoy) or 8% for low-to-medium voltage power distribution items and Rmb1.1bn (+5% yoy) for international sales. These new orders were 80% (up yoy) from grids and 20% (down yoy) from non-grids. The ASP of 1,000kV GIS were steady at Rmb74m in 2023-25 but slightly lowered to Rmb71m recently.

More high voltage 1,000kV delivery in 2026E — Pinggao's orders on hand were Rmb15.9bn (+2.6% yoy) by end 1H26; we calculate about 60% belonging to high voltage GIS including 55 knots of 1,000kV and 170 knots of 750kV ones. The entity anticipates it to deliver GIS of at least 15 knots (no target change) of 1,000kV whereas the number of 750kV would depend on the progress of UHV projects under development. It should have enough production capacity to deliver its GIS orders on hand with expansion added in June 2026.

Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	1,023	0.754	25.4	25.6	2.5	10.0	1.5
2025A	1,120	0.825	9.4	23.4	2.3	10.3	1.7
2026E	1,372	1.011	22.5	19.1	2.1	11.7	2.2
2027E	1,585	1.168	15.5	16.5	2.0	12.5	2.7
2028E	1,808	1.332	14.1	14.5	1.8	13.1	3.2

Source: Powered by dataCentral

Buy

Price (20 Aug 26 15:00)	Rmb19.290
Target price	Rmb24.500↑ from Rmb24.000
Expected share price return	27.0%
Expected dividend yield	2.2%
Expected total return	29.2%
Market Cap	Rmb26,175M US\$3,889M

Price Performance

(RIC: 600312.SS, BB: 600312 CH)



China Power Grid Equipment Sector

Pierre Lau, CFA^{AC}

+852-2501-2716

pierre.lau@citi.com

Air Ma

air.ma@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Not for distribution in the People's Republic of China, excluding the Hong Kong Special Administrative Region and Qualified Foreign Institutional Investors.

600312.SS: Fiscal year end 31-Dec						Price: Rmb19.290; TP: Rmb24.500; Market Cap: Rmb26,175m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	12,303	12,424	12,862	13,822	14,876	PE (x)	25.6	23.4	19.1	16.5	14.5
Cost of sales	-9,629	-9,523	-9,588	-10,179	-10,817	PB (x)	2.5	2.3	2.1	2.0	1.8
Gross profit	2,674	2,900	3,274	3,644	4,059	EV/EBITDA (x)	15.2	12.6	10.1	8.5	7.3
Gross Margin (%)	21.7	23.3	25.5	26.4	27.3	FCF yield (%)	10.8	2.0	6.7	6.0	6.7
EBITDA (Adj)	1,476	1,688	2,023	2,332	2,653	Dividend yield (%)	1.5	1.7	2.2	2.7	3.2
EBITDA Margin (Adj) (%)	12.0	13.6	15.7	16.9	17.8	Payout ratio (%)	38	40	42	44	46
Depreciation	-212	-216	-224	-239	-255	ROE (%)	10.0	10.3	11.7	12.5	13.1
Amortisation	-155	-164	-169	-182	-196	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	1,108	1,308	1,630	1,911	2,202	EBITDA	1,476	1,688	2,023	2,332	2,653
EBIT Margin (Adj) (%)	9.0	10.5	12.7	13.8	14.8	Working capital	593	-112	168	-242	-277
Net interest	66	-74	-73	-83	-89	Other	940	-765	-122	-170	-216
Associates	0	0	0	0	0	Operating cashflow	3,008	811	2,069	1,920	2,160
Non-Op/Except/Other Adj	98	196	196	196	196	Capex	-187	-299	-323	-361	-403
Pre-tax profit	1,273	1,431	1,752	2,024	2,309	Net acq/disposals	-20	-111	-313	-319	-326
Tax	-154	-201	-246	-285	-325	Other	74	126	-127	-139	-153
Extraord./Min.Int./Pref.div.	-96	-110	-134	-155	-177	Investing cashflow	-134	-284	-762	-819	-883
Reported net profit	1,023	1,120	1,372	1,585	1,808	Dividends paid	-392	-449	-578	-699	-834
Net Margin (%)	8.3	9.0	10.7	11.5	12.2	Financing cashflow	-720	-512	-445	-545	-658
Core NPAT	1,023	1,120	1,372	1,585	1,808	Net change in cash	2,155	11	862	555	619
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	2,821	512	1,746	1,560	1,757
Reported EPS (Rmb)	0.754	0.825	1.011	1.168	1.332						
Core EPS (Rmb)	0.754	0.825	1.011	1.168	1.332						
DPS (Rmb)	0.289	0.331	0.426	0.515	0.614						
CFPS (Rmb)	2.217	0.597	1.525	1.415	1.592						
FCFPS (Rmb)	2.079	0.377	1.287	1.149	1.295						
BVPS (Rmb)	7.717	8.289	8.973	9.740	10.588						
Wtd avg ord shares (m)	1,357	1,357	1,357	1,357	1,357						
Wtd avg diluted shares (m)	1,357	1,357	1,357	1,357	1,357						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	12.0	1.0	3.5	7.5	7.6						
EBIT (Adj) (%)	32.0	18.0	24.6	17.3	15.2						
Core NPAT (%)	25.4	9.4	22.5	15.5	14.1						
Core EPS (%)	25.4	9.4	22.5	15.5	14.1						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	7,130	7,180	8,042	8,597	9,216						
Accounts receivables	6,361	6,168	6,031	6,481	6,975						
Inventory	1,547	1,765	1,827	1,964	2,113						
Net fixed & other tangibles	3,610	3,445	3,670	3,932	4,233						
Goodwill & intangibles	1,180	1,196	1,277	1,345	1,399						
Financial & other assets	1,915	2,372	2,496	2,700	2,924						
Total assets	21,743	22,126	23,343	25,018	26,861						
Accounts payable	5,777	5,776	5,815	6,173	6,560						
Short-term debt	2,772	1,962	1,962	1,962	1,962						
Long-term debt	0	0	0	0	0						
Provisions & other liab	2,229	2,620	2,736	2,857	2,984						
Total liabilities	10,777	10,358	10,512	10,992	11,506						
Shareholders' equity	10,471	11,247	12,176	13,216	14,367						
Minority interests	494	521	655	810	987						
Total equity	10,965	11,768	12,831	14,026	15,354						
Net debt (Adj)	-4,358	-5,218	-6,080	-6,635	-7,254						
Net debt to equity (Adj) (%)	-39.7	-44.3	-47.4	-47.3	-47.2						

For definitions of the items in this table, please click [here](#).

Strong Profit Growth in 1H26

Figure 1. Pinggao's 2Q26 and 1H26 results highlight

(Rmbm)	2Q26	YoY	QoQ	1H26	YoY	Comment for 1H26 results
Operating revenue	2,924	-8.2%	19.4%	5,374	-5.6%	
Less: Cost of sales	-2,046	-18.1%	18.3%	-3,775	-11.9%	
Less: Business tax and surcharge	-15	-6.0%	-37.4%	-38	10.6%	
Gross profit	863	28.7%	23.8%	1,561	13.6%	
<i>GP margin</i>	<i>29.5%</i>	<i>8.5ppts</i>	<i>1.1ppts</i>	<i>29.0%</i>	<i>4.9ppts</i>	
Less: Selling & distribution costs	-81	-14.7%	36.7%	-140	-31.6%	* As % of revenue -1.0ppt yoy to 2.6% in 1H26
Less: Administrative expenses	-222	4.0%	26.1%	-398	1.6%	* As % of revenue +0.5ppt yoy to 7.4% in 1H26 * R&D expenses -13.1% yoy to Rmb208m in 1H26
Less: Impairment loss of assets	-77	169.7%	n/a	-75	169.3%	
Operating profit	483	44.7%	4.1%	948	26.6%	
<i>OP margin</i>	<i>16.5%</i>	<i>6.0ppts</i>	<i>-2.4ppts</i>	<i>17.6%</i>	<i>4.5ppts</i>	
Less: Finance costs	3	-61.0%	-20.9%	8	-72.8%	* Net cash position as at end 1H26 * Interest income -17.1% yoy to Rmb31m in 1H26
Add: Other income	19	10.1%	-20.3%	43	87.4%	
Add: Investment income	9	-13.3%	-28.2%	23	10.7%	
Add: fair value gains	4	n/a	n/a	8	n/a	
Add: Non-operating income	1	71.2%	3.7%	2	6.1%	
Less: Non-operating eypenses	-5	384.5%	469.1%	-6	314.3%	
Profit before tax	515	39.0%	1.0%	1,025	24.8%	
Less: Income tax	-90	129.5%	22.2%	-164	58.4%	
<i>Tax rate</i>	<i>17.5%</i>	<i>6.9ppts</i>	<i>3.0ppts</i>	<i>16.0%</i>	<i>3.4ppts</i>	
Profit after tax	425	28.3%	-2.5%	861	20.0%	
MI	-23	-7.3%	8.2%	-44	-16.0%	
Net profit	402	31.2%	-3.1%	817	22.9%	
<i>NP margin</i>	<i>13.7%</i>	<i>4.1ppts</i>	<i>-3.2ppts</i>	<i>15.2%</i>	<i>3.5ppts</i>	
Less: one-off items						
Government grant	8	n/a	n/a	9	211.0%	
Other one-off items	2	120.3%	-69.1%	10	632.3%	
Recurrent net profits	391	28.1%	-3.9%	798	20.8%	
EPS (Rmb)	0.296	31.2%	-3.1%	0.602	22.9%	
DPS (Rmb)				0.242	28.7%	
Payout				40.2%	1.8%	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Pinggao's revenue dropped 5.6% yoy to Rmb5,374m in 1H26 comprising:

- (i) Rmb4,474m or 83.3% from power transmission and distribution products with GP margin of 30.1% with more delivery of high voltage products. The ASP of power distribution products declined earlier and have stabilized recently;
- (ii) Rmb452m or 8.4% from maintenance and operation services with GP margin of 18.5%;
- (iii) Rmb409m or 33.6% from ancillary equipment with GP margin of 33.5%.

Its total revenue in 1H26 were 98.3% from China and 1.7% from overseas; and the GP margins of domestic and overseas sales were 29.9% and 19.1% respectively in the period. We attribute the lower GP margin of overseas sales than domestic ones owing to higher revenue mix from EPC for export.

Figure 2. Pinggao's new orders and orders on hand

(Rmbbn)	2023	1H24	9M24	2024	1H25	9M25	2025	1H26
New orders	14.5	8.33	12.2	16.5	8.7	12.2	17.3	9.3
YoY	19.6%	4.7%	8.80%	14.0%	4.2%	7.0%	12%	7.5%
Orders on hand	15.1	17.0	16.8	12	15.5	16.0	n/a	15.9
YoY	53.0%	34.9%	29.2%	-20.5%	-8.8%	-4.8%	n/a	2.6%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

PRC power grid capex is rising. Grid companies' capex was +12% yoy to Rmb310bn in 1H26, when PRC power equipment tendering had 95 knots of 750kV GIS in the first three batches, lowered from 166 from the first three batches last year and total 300 knots for the full year of 2025.

Pinggao expects its overall GP margin to rise yoy in 2026E for delivery of more high margin products. Its new product development of 1,100kV GIS has passed testing, though revenue contribution will not be imminent. The GP margin of its power distribution segment nevertheless might be lowered 1-2ppts yoy in 2026E, from 15% in 2025, owing to increase in copper unit cost and ASP pressure.

Pinggao is financially sound. Its net cash fell -15.0% to Rmb6,043m in 1H26 due to higher inventory (+40.5% to Rmb2,479m) essential for production to cater to more delivery in 2H26E. It reported Rmb689m (+60.5% yoy) operating cash flow in 1H26 likely on higher working capital. Its investing cash outflow jumped +2.8x yoy to Rmb148m in 1H26 likely due to capacity expansions to cater to rising demand. ROE rose +0.86ppts yoy to 7.01% in the first six months of this year. We expect its ROE to keep rising driven by growing sales of high-end products.

Rising PRC Power Grid Capex

PRC power grid investments increased 4.0% yoy to Rmb302.7bn in 1H26 driven by UHV power transmission initiatives, supporting transmission projects for new energy as well as power distribution network construction. Specifically, the newly added transformer capacity (AC) at 220 kV level and above totaled 152.63m kVA in 1H26, -2.5% yoy, while the length of newly added transmission lines at the 220 kV level and above increased +1.2% to 18,557km over the same period.

PRC grid companies keep developing ultra-high-voltage (UHV) power transmission lines. By end-1H26, the Shaanxi-Anhui ±800 kV UHV DC transmission project and the expansion projects of the Changsha and Caozhou main transformers were completed and put into operation, strengthening Central and North China power grids. Construction began on such UHV projects as the Panzhihua-Xichang, Zhejiang Ring Network, and the 2nd phase of the Nanyang Power Plant transmission line. The 15 UHV projects under construction, including eight AC and seven DC lines (Gansu-Zhejiang, Mengxi-Beijing-Tianjin-Hebei, Aba-Chengdu East, and Datong-Tianjin South), are progressing continuously. Total 43 UHV projects (22 AC and 21 DC) have been completed and put into operation in China.

Key Assumptions

Figure 3. Segmental revenue (Rmbm)

Segment	2024	2025	2026E	2027E	2028E
High voltage products	7,698	7,747	8,909	9,800	10,780
yoy	25%	1%	15%	10%	10%
Mid-to-low voltage products & distribution products	3,242	3,264	2,774	2,774	2,774
yoy	11%	1%	-15%	0%	0%
International business	204	258	258	284	312
yoy	-72%	26%	0%	10%	10%
Maintenance and operation services & others	1,164	1,173	938	985	1,035
yoy	-1%	1%	-20%	5%	5%
Other non-major business	94	75	79	83	87
yoy	-18%	0%	5%	5%	5%
Gross Sales	12,402	12,517	12,959	13,926	14,988

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 4. Segmental GP margin

Segment	2024	2025	2026E	2027E	2028E
High voltage products	25.5%	27.8%	29.3%	30.3%	31.3%
growth					
Mid-to-low voltage products & distribution products	16.0%	15.5%	15.0%	15.0%	15.0%
growth					
International business	-30.4%	-24.4%	5.0%	5.0%	5.0%
growth					
Maintenance and operation services & others	25.2%	28.9%	28.9%	28.9%	28.9%
growth					
Other non-major business	60.6%	79.9%	79.9%	79.9%	79.9%
growth					
Gross Sales	22.4%	23.9%	26.0%	26.9%	27.8%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

DCF Calculation

Figure 5. DCF Calculation

Rmbm	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Net Income		1,372	1,585	1,808	1,889	1,973	2,061	2,153	2,251	2,353	2,460
Less: Capex		-323	-361	-403	-436	-470	-507	-547	-589	-634	-682
Add: D&A		394	421	451	477	505	534	566	600	637	676
Less: Net Working Capital		-168	242	277	68	71	75	79	84	88	93
FCF		1,274	1,886	2,133	1,998	2,079	2,163	2,252	2,345	2,443	2,546
PV of Cash Flow		1,274	1,705	1,742	1,475	1,386	1,304	1,227	1,154	1,087	1,023

FCF in 2030E	2,546
Expected Terminal Growth Rate	4%
WACC	11%
Terminal Value	39,767
Discount Factor	2.75
NPV of Terminal Value	14,444
PV of Explicit Cash Flows	13,376
Less: net debt & minority interest	5,424
Total DCF	33,245
No. of Shares (m)	1,357
DCF/share (Rmb)	24.50

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

Financial Statements & Key Ratios

Figure 6. Consolidated income statement (Rmbm)

	2024	2025	2026E	2027E	2028E
Gross Sales	12,402	12,517	12,959	13,926	14,988
(-) Sales tax	-99	-93	-96	-104	-112
Net sales	12,303	12,424	12,862	13,822	14,876
(-) Cost of sales	-9,629	-9,523	-9,588	-10,179	-10,817
Gross profit	2,674	2,900	3,274	3,644	4,059
(-) SG&A	-1,428	-1,494	-1,546	-1,634	-1,759
Other operating items	-137	-98	-98	-98	-98
EBIT	1,108	1,308	1,630	1,911	2,202
EBIT Margin	8.9%	10.5%	12.6%	13.7%	14.7%
(-) Depreciation & Amortization	-367	-380	-394	-421	-451
EBITDA	1,476	1,688	2,023	2,332	2,653
EBITDA Margin	11.9%	13.5%	15.6%	16.7%	17.7%
Total other non-operating items	62	163	163	163	163
Net interest income/expense	66	-74	-73	-83	-89
Adj Pretax profit	1,273	1,431	1,752	2,024	2,309
(-) Taxation	-154	-201	-246	-285	-325
(-) Minority interest	-96	-110	-134	-155	-177
Net income	1,023	1,120	1,372	1,585	1,808

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 7. Consolidated cash flow statement (Rmbm)

	2024	2025	2026E	2027E	2028E
Net income	1,023	1,120	1,372	1,585	1,808
Depreciation and amortization	367	380	394	421	451
Interest/finance cost	2	2	2	2	2
Change in working capital	499	-473	53	-363	-404
Change in other current liabilities	94	360	115	121	127
Net change in operating assets & liabilities	593	-112	168	-242	-277
Other operating cash flow items	1,023	-578	134	155	177
Cash from operations	3,008	811	2,069	1,920	2,160
Investment in PP&E	-187	-299	-323	-361	-403
Proceeds from sale of PP&E	22	1	0	0	0
Purchase of long-term investments	-42	-112	-63	-69	-76
Total other investing cash flows	74	126	-127	-139	-153
Cash from investing activities	-134	-284	-762	-819	-883
Change in borrowings	-173	33	0	0	0
Equity raised/share buybacks	0	0	0	0	0
Dividends paid	-392	-449	-578	-699	-834
Interest paid	-152	-77	-2	-2	-2
Total other financing cash flows	-3	-19	134	155	177
Cash from financing activities	-720	-512	-445	-545	-658
Foreign exchange adjustment (non-operating)	1	-3	0	0	0
Change in cash	2,155	11	862	555	619
Opening cash	4,922	7,077	7,180	8,042	8,597
Closing cash	7,077	7,088	8,042	8,597	9,216

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 8. Consolidated balance sheet (Rmbm)

Cash and marketable securities	7,130	7,180	8,042	8,597	9,216
Accounts receivable	6,361	6,168	6,031	6,481	6,975
Inventory	1,547	1,765	1,827	1,964	2,113
Total other current assets	1,294	1,741	1,802	1,937	2,084
Total current assets	16,332	16,854	17,702	18,978	20,389
Net tangible fixed assets	2,151	2,178	2,277	2,399	2,547
Investments	621	631	694	763	840
Other non-current assets	1,458	1,267	1,394	1,533	1,686
Total intangible assets (excl. goodwill)	1,180	1,196	1,277	1,345	1,399
Total non-current assets	5,410	5,272	5,641	6,040	6,472
Total assets	21,743	22,126	23,343	25,018	26,861
Accounts payable	5,777	5,776	5,815	6,173	6,560
Short-term debt	2,772	1,962	1,962	1,962	1,962
Other short term liabilities	1,949	2,309	2,424	2,546	2,673
Current liabilities	10,498	10,047	10,201	10,681	11,195
Long-term debt	-	-	-	-	-
Other non-current liabilities	280	311	311	311	311
Non-current liabilities	280	311	311	311	311
Total liabilities	10,777	10,358	10,512	10,992	11,506
Minority interest - accumulated	493.9	521.0	655.2	810.2	987.0
Share capital	1,357	1,357	1,357	1,357	1,357
Retained earnings	3,487	4,261	5,189	6,229	7,381
Reserves & others	5,628	5,630	5,630	5,630	5,630
Shareholders' equity	10,965	11,768	12,831	14,026	15,354
Liabilities and shareholders' equity	21,743	22,126	23,343	25,018	26,861

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Figure 9. Key ratios

	2024	2025	2026E	2027E	2028E
Gross margin (%)	21.7%	23.3%	25.5%	26.4%	27.3%
Net margin (%)	8.3%	9.0%	10.7%	11.5%	12.2%
Net debt to total capital (x)	-0.3	-0.4	-0.4	-0.4	-0.4
Net debt to equity (x)	-0.40	-0.44	-0.47	-0.47	-0.47
Interest coverage ratio (x)	561	716	1,076	1,262	1,453
Debt to EBITDA ratio	1.9	1.2	1.0	0.8	0.7
EV/EBITDA (x)	20.0	17.5	14.6	12.6	11.1
ROA (%)	4.7%	5.1%	5.9%	6.3%	6.7%
ROE (%)	9.3%	9.5%	10.7%	11.3%	11.8%
Operating margin	9%	11%	13%	14%	15%
EPS	0.75	0.83	1.01	1.17	1.33
EPS growth (%)	25.3%	9.6%	22.5%	15.5%	14.1%
Three-year EPS growth (%)	18.9%	15.7%	17.3%	11.3%	7.6%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Company Reports

Bull/Bear: Henan Pinggao Electric Co (600312.SS)

Rmb **34.000**
▲76% Upside

Rmb **24.500**
▲27% Upside

Rmb **14.000**
▼27% Downside



Spread 104pp
Current Price and expected returns (upside/downside) as of 20 Aug 2026

BULL Assumptions

- High voltage products GP margin +5ppts
- Mid-to-low voltage products GP margin +5ppts
- SG&A expenses as of revenue -2ppts

BASE Assumptions

- Base case

BEAR Assumptions

- High voltage products GP margin -5ppts
- Mid-to-low voltage products GP margin -5ppts
- SG&A expenses as of revenue +2ppts

Henan Pinggao Electric Co

Company description

Pinggao Electric is a power grid equipment manufacturer in China. More than 70% of Pinggao's profit comes from high insulated electric appliance systems, in which the company has a domestic market share of 40%. In circuit breakers and high voltage switchgear, Pinggao has a market shares of around 40%. As a research station for PhD graduates, the company has a large advantage in technology development, in particular the technology for ultra-high voltage equipment.

Investment strategy

We keep our Buy rating on Pinggao expecting it to be a prime beneficiary of PRC's increased investments in developing ultra-high voltage ('UHV') transmission lines. Construction of these lines need high voltage gas insulated switchgears (GIS) and Pinggao is the PRC's biggest GIS supplier with the largest market share. More than 95% of its revenue is from China.

Valuation

Our target price for Pinggao of Rmb24.50/share is based on a DCF model, which we believe is a suitable valuation methodology given that cash flows are relatively stable for the power grid equipment industry in China. Our model incorporates our forecasts for cash flows up to 2030E and assumes a terminal growth rate of 4.0%. We apply a cost of equity of 11.0%, derived from a risk-free rate of 5.2%, a market risk premium of 6.8%, and an equity beta of 0.9x (according to Bloomberg). Our target price equates to 2026E P/E of 21.0x and P/B of 2.5x.

Risks

Key downside risks that could cause Pinggao's shares to trade below our target price include: (i) lower-than-expected approval process of UHV transmission line projects; (ii) higher-than-expected raw material costs; and (iii) lower-than-expected ASPs of GIS.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report

for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Henan Pinggao Electric Co (600312.SS)

Ratings and Target Price History Fundamental Research

Analyst: Pierre Lau, CFA



	Date	Rating	Target Price	Closing Price
1	16-Aug-23 12:57:53	1	*13.30	10.65
2	19-Oct-23 20:32:53	1	*13.50	10.60
3	07-Dec-23 05:28:10	1	*14.00	11.81
4	08-Mar-24 11:12:16	1	*17.00	14.53

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	14-Apr-24 14:03:40	1	*18.00	15.41
6	08-Jul-24 11:46:10	1	*25.00	19.92
7	30-Aug-24 06:37:19	1	*25.20	18.38
8	22-Oct-24 10:00:40	1	*26.00	19.76

	Date	Rating	Target Price	Closing Price
9	13-Apr-25 18:43:13	1	*21.00	17.76
10	21-Oct-25 10:49:03	1	*20.00	17.17
11	12-Apr-26 19:50:37	1	*24.00	20.79

Rating/target price changes above reflect Eastern Time

Henan Pinggao Electric Co (600312.SS)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	16-Aug-23 22:58:57	Add CW	Upside	90 Days	10.65
2	15-Nov-23 11:02:00	Remove CW	Upside	90 Days	11.28
3	07-Dec-23 00:28:10	Add CW	Upside	90 Days	11.81

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
4	06-Mar-24 11:11:49	Remove CW	Upside	90 Days	14.55
5	08-Mar-24 20:13:24	Add CW	Upside	90 Days	14.53
6	07-Jun-24 12:02:46	Remove CW	Upside	90 Days	16.20

	Date	Action	Expected Direction	Duration	Closing Price
7	13-Oct-24 15:39:20	Add CW	Upside	90 Days	20.71
8	12-Nov-24 21:28:33	Remove CW	Upside	30 Days	18.57

Rating/target price changes above reflect Eastern Time

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

Privately held companies:

The legal entities through which Citi conducts its business do not permit investment research recommendations, ratings, target prices, or estimates on any privately held companies ("private companies") referenced herein. Citi Research does not utilize a rating system for private companies. Any information on private companies in this report is based on generally available information and, although obtained from sources believed by Citi to be reliable, its accuracy and completeness are

not guaranteed. Private companies are generally not subject to reporting obligations, which may result in less publicly available information. The information contained in this report may differ from information a private company may subsequently make public or otherwise share with investors. Continuation of publishing private company reports or private company sections within reports is at Citi's discretion, in accordance with internal policies.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Asia Limited

Pierre Lau, CFA; Air Ma

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel,

this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the

Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia : This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für
tungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is 26657, and its Compliance Officer [Vishal Bohra] contact details are:

Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks.

Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at

<https://www.citivelocity.com/rendition/> /eppublic/V1/file?paramData=L0dETVMvcHVjVXNlLmh0bWw

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemun-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/tList.xml&divisionId=MDISO3002002000000&serviceld=SDISO300200200000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemun-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey.

Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and ties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für tungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party

involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST